Briefs Pro

INCOME

June 2026 Report

For almost 80 years, the U.S. dollar has been the king of money.

Most countries park their savings in dollars and use dollars to trade with one another. But lately, the crown has started to slip.

Bit by bit, countries are moving their savings out of dollars and into gold and other currencies - a slow drift known as de-dollarization. The signs are everywhere:

- The dollar makes up a smaller slice of the world's savings than it used to.
- Central banks have been buying a historic amount of gold - about 800 tons a year, four years running.
- China has added gold 17 months in a row while cutting its pile of U.S. government debt to the lowest level since 2008.
- Poland was the single biggest gold buyer last year.

Why the rush? After Russia invaded Ukraine, Western countries froze about $300 billion of Russia's money sitting in their banks.

The bottom line: Money you park in someone else's system can be frozen. So they're spreading out.

To be clear, the dollar is still king today. But its grip is loosening a little more each year - and that slow loosening is the opening for investors.

That problem is exactly where the opportunity is and it's where our analysts have spotted a **Broad Market Shift**: De-dollarization is changing the power dynamic of the world's financial system, but income investors can still find opportunities to profit.

Let's break down what our analysts are watching and what we're buying because of it.

The Shift

The dollar's slide isn't only a global story - it's happening at home, too.

- Every year, inflation quietly eats away at what your dollars can buy - lately at a rate of roughly 3 to 4% a year.

Whether it's countries trading in fewer dollars abroad or prices creeping up at the grocery store, the result is the same: a dollar buys a little less over time.

So for someone who lives, spends, and collects income in dollars, the goal isn't to dump every dollar you own.

It's to own income that grows faster than the dollar shrinks - and, even better, income that sits on top of real, hard assets that hold their value no matter what the dollar does.

That's the Broad Market Shift our income team is playing. For income investors, our analysts are adding two opportunities to our Briefs Income Portfolio - Altria (MO) and Danaos (DAC).

The purest way to beat de-dollarization is gold - that's exactly why central banks are piling into it.

But gold has one big drawback for an income investor: It doesn't pay you a dime.

So, what can investors consider buying that provides income, while defending against this de-dollarization shift?

ALTRIA (MO)

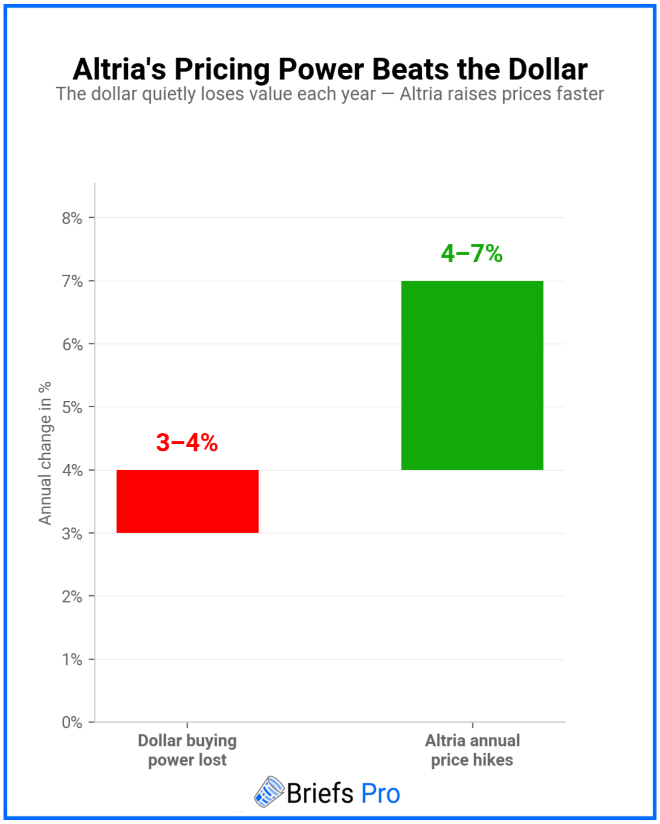
Altria is the American company behind Marlboro cigarettes. It's not as flashy as a chip stock, but it pays investors steady income.

Here's how: Altria has raised its dividend every single year for 57 years in a row. Almost no company on Earth can say that.

Today it hands out about $4.24 a share each year, a yield of roughly 6%. In one recent quarter alone, it handed more than $2 billion back to its shareholders.

Now here's the part that matters for this shift. Remember, the dollar loses roughly 3 to 4% of its buying power every year to inflation. Altria fights back by raising the prices on its cigarettes and other tobacco products by about 4 to 7% a year - and customers keep buying.

- So its income tends to grow faster than the dollar shrinks.



In plain terms, the cash Altria pays you can grow in real value even while the dollar quietly weakens. That lets income investors stay a step ahead of the dollar's slow decline.

Exit Trigger: Altria already pays out about 87% of its earnings as dividends, leaving little cushion. If a government crackdown on tobacco hit sales hard, or that payout got stretched too thin, the steady-raise streak could be in danger.

DANAOS (DAC)

Danaos owns giant cargo ships and rents them out to the world's biggest shipping lines.

Think of it as a landlord, but for boats. It signs long rental deals, collects the checks, and lets the renter cover fuel and day-to-day costs.

So why should income investors care? Because even as the world drifts away from the dollar, global trade is still paid for in dollars. Danaos earns those dollars hauling goods made in Asia to the rest of the world.

And this is where it fits the shift perfectly: it collects steady dollar income, but that income is backed by real, valuable ships - hard assets that hold their worth no matter which currency is winning.

- Danaos has $4.3 billion of rent already under contract, with every ship booked for 2026 and most of 2027 already spoken for.

Its debt is also low. After you count its cash, the company is almost debt-free.

It pays a dividend of about 3.5% and trades at a very cheap price compared to what it earns.

For an income investor, that's a rare mix: steady cash, a rock-solid balance sheet, and real assets standing behind it.

- Shipping rates have also climbed to their highest level in over a year.

Exit Trigger: Shipping runs in booms and busts. Danaos is building 27 new ships, and if too many ships crowd the market - or a deep recession slows trade - the rent on its later contracts could shrink.

Risks We're Watching

For Altria, the worry is the high payout plus the slow, steady drop in the number of smokers. Fewer smokers each year means it leans hard on price hikes to keep growing.

For Danaos, the risk is the shipping cycle. New ships flooding the market can drag rental rates down, and a sharp slowdown in global trade would hit its income.

And the whole idea rests on the dollar weakening slowly over time. If the dollar suddenly got much stronger instead, some of the shine on this trade would fade.

The Takeaway

The dollar isn't crashing. It's just slowly sharing its throne with gold and other currencies, year after year.

For income investors, the smart move isn't to panic - it's to own income that can grow right through that slow change.

Altria offers a big, steadily rising paycheck powered by pricing power. Danaos offers dollar income backed by real ships and years of locked-in contracts.

Each belongs as just one piece of a bigger plan - and for investors who want their income to keep its value as the world's money map gets redrawn, these two are worth keeping an eye on.

- Briefs Finance Team